

QLmonthly July 2026 ¹

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¹Based on Ellieroth & Michaud, "Quits, Layoffs, and Labor Supply" Institute Working Paper 94 (2024)

Contents

1. Recent Developments in Layoffs, Quits, and Job Finding
Our reading: Layoffs increase, Quits stable $\Rightarrow$ Labor Market stable
2. This Month's Special Topic: The Sharp Decline in Prime-Age Labor Force Participation

Layoffs Increase

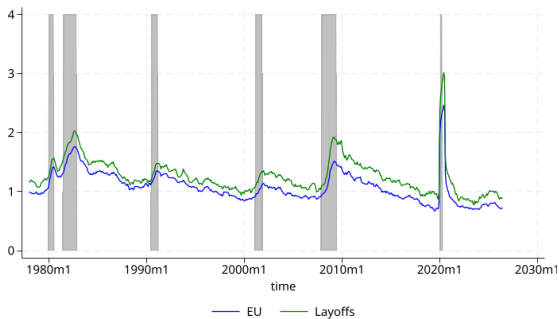


Figure: Prime age monthly Employment to Unemployment (E-to-U) flows and layoffs to non-employment from CPS household survey.

- Layoffs saw an increase in the past 2 months, but still near all-time low

Quits Stable

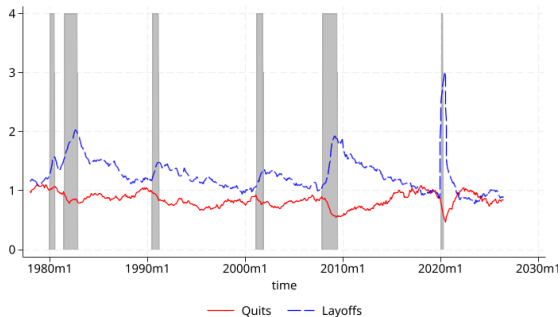


Figure: Quits and Layoffs to non-employment

- Quits are stable, with signs of increase, but noisy
- Quits and layoffs close to equal in levels

Job Finding Rates Decline

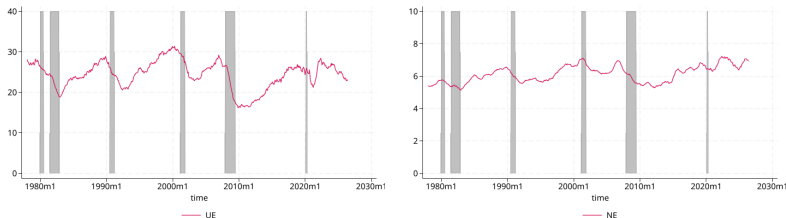


Figure: Job finding rates from unemployment (left) and non-participation (right) for Prime Age Workers

- ▶ Job finding rates from both unemployment and non-participation decline.
- ▶ Finding rates for non-participants remain close to all-time high.

What do we make of this?

Labor market remains very stable.

Recap: Household survey (CPS) indicates:

- ▶ Quits and layoffs signal a steady labor market.
 - ▶ Stable quits + low layoffs signal steady labor market.
- ▶ Job finding rates from U and N are stable

Our reading: Flows signal steady labor market, show no concerns.

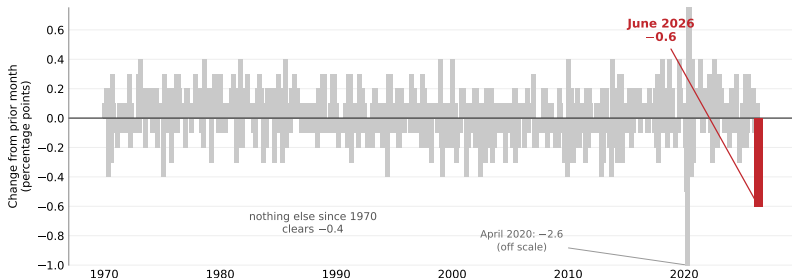
Discussion of the Month

The Sharp Decline in Prime-Age Labor Force Participation.

Largest Drop in Prime-Age Participation Since 1968, Outside of Pandemic

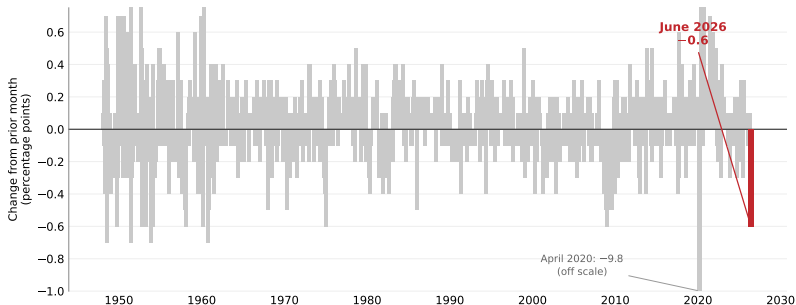
- ▶ The share of 25-54 year-olds working or looking for work decreased by 0.6 percentage points in June.
- ▶ Outside of April 2020, June's drop is the **largest one-month decline in prime-age participation since 1968** and the only one larger than 0.4 points in more than fifty years.

Since 1970, no month has come close — not 1982, not 2008.



Same Drop in Prime-Age Employment

- ▶ The prime-age employment-population ratio fell **0.6 percentage points** in June, to 80.2%, which is the same size drop as participation.
- ▶ The prime-age unemployment rate, however, barely changed.



Large Increase in Labor Force Exits

Our data points to a potential explanation. Flows are noisy month to month, so we measure changes over two months:

	April-to-June Change
Left work for non-participation (EN)	+17%
Left unemployment for non-participation (UN)	+13%
Total Layoffs	+45%
Share of layoffs ending out of the labor force	28% → 41%

They Were Let Go, and They Stopped Looking

- ▶ Layoffs rose sharply, and a growing share of laid-off workers end up outside the labor force rather than looking for a new job.
- ▶ So the participation and employment decline seem to be people who were laid off and stopped searching.
- ▶ Unemployment barely moved even though layoffs rose sharply: more people entered unemployment, but more also left the labor force from it.

Two months of data. We will need more to know whether this is a turn or noise.